dictionary.

Now it may make sense to trained accountants, but to the average person, it may as well be written in Mandarin. You read the words in the definition, but true comprehension is difficult.

So as I said earlier, my rich dad simply told two young boys that “assets put money in your pocket.” Nice, simple and usable.

“This is Cash Flow pattern of a liability.”

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+-----------------------+
|Income |
|------------------------
| Expense |
+-----|\------------------+
| \----------------------------->
-------------------------|--------+
| Assets | Liabilities |
| | |
|__________|_____________|
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Now that assets and liabilities have been defined through pictures, it may be easier to understand my definitions in words.

An asset is something that puts money in my pocket.

A liability is something that takes money out of my pocket.

This is really all you need to know. If you want to be rich, simply spend your life buying assets. If you want to be poor or middle class, spend your life buying liabilities. It's not knowing the difference that causes most of the financial struggle in the real world.

Illiteracy, both in words and numbers, is the foundation of financial struggle. If people are having difficulties financially, there is something that they cannot read, either in numbers or words. Something is misunderstood. The rich are rich because they are more literate in different areas than people who struggle financially. So if you want to be rich and maintain your wealth, it's important to be financially literate, in words as well as numbers.

The arrows in the diagrams represent the flow of cash, or “cash flow.” Numbers alone really mean little. Just as words alone mean little. It's the story that counts. In financial reporting, reading numbers is looking for the plot, the story. The story of where the cash is flowing. In 80 percent of most families, the financial story is a story of working hard in an effort to get ahead. Not because they don't make money. But because they spend their lives buying liabilities instead of assets.

For instance, this is the cash flow pattern of a poor person, or a young person still at home:

Job (provides income)-> Expenses(Taxes Food Rent Clothes Fun